

Made for Malaysia

Integrating New Aim's scalable model into Malaysia's market to empower SMEs and expand long-term






Executive Summary

Situation

What market and entry strategy should New Aim pursue to expand its global footprint successfully?



Solution

Made for Malaysia

Front-End: Building an Ecosystem

Unifying sellers, suppliers, and platforms into a seamless ecosystem

Back-End: Building the Backbone

Powering long-term scalability through logistics and digital enablement



Impacts

3100 Dropshippers
By Year 5

$60M Revenue
In Year 5

1.8M Total Orders
By Year 5



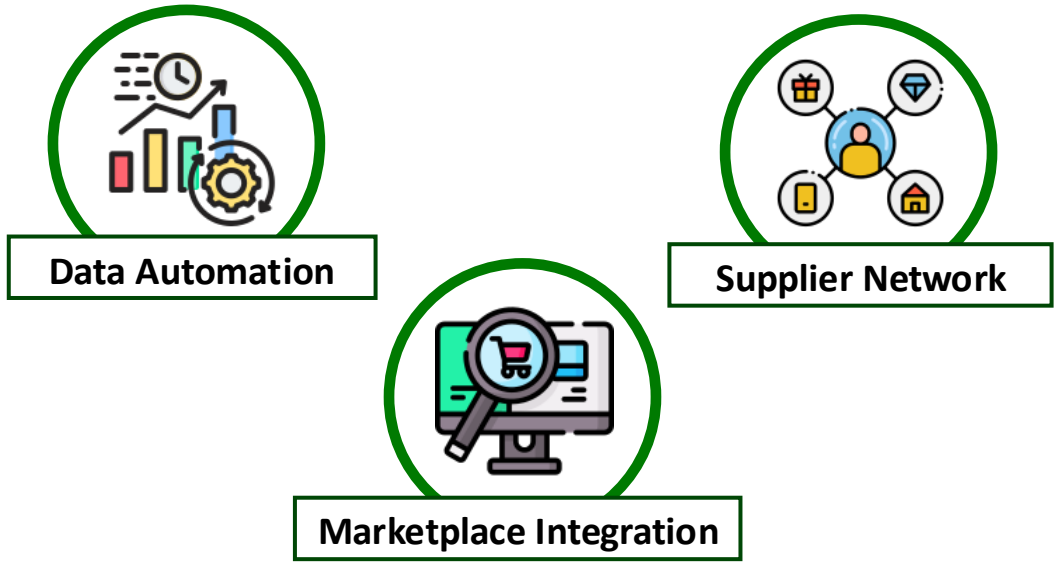
Key Learnings from Australia: Building Blocks for Global Expansion

Strong **partnerships with local suppliers** and large wholesale producers ensured widespread **platform visibility and trust**

Capitalized on a strong **dropshipping culture by communicating value proposition** effectively through **media campaigns**

Leverage analytics and **specialty in home goods inventory** to forecast consumer trends and **automate** a warehouse network

Leveraging Core Competencies



Key Goals

1. **Expanding Market Reach**
   Enter new geographies and channels by localizing the proven Australian e-commerce model

2. **Increase Engagement & Personalization**
   Use AirOxy insights to customize seller onboarding, optimize pricing, and boost consumer experience

Replicate Australia's scalable fulfilment efficiency and data-driven decision-making to drive profitable regional growth

Establishing the Four Core Criteria for Evaluating Global Market Expansion

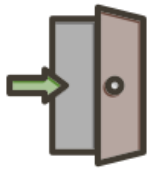
Defining the Four Core Criteria Guiding Dropshipzone's Global Market Selection

Ecosystem Potential



Strong presence of e-commerce & SME growth to foster a self-sustaining localized ecosystem

Low Market Entry Barriers



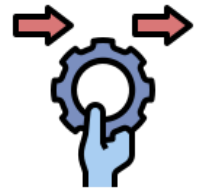
Manageable regulations & competition for a favorable long-term business setup

Financial Cost/Feasibility



High profitability potential & low overall operational costs to guarantee financial success

Scalability & Implementation



Mapping out the groundwork to avoid logistical nightmares and establish long-term regional hub growth

Narrowing Down to High-Potential Markets for Expansion

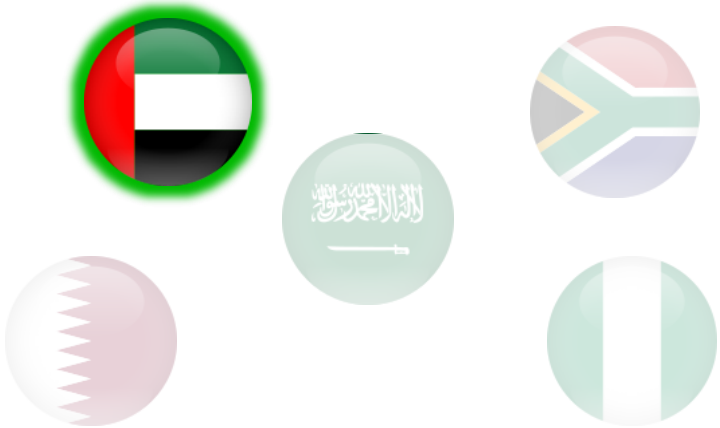
Europe



Asia



Middle East & Africa



Other



Situation

Malaysia Emerges as the Optimal Market for Expansion

Countries Considered	Ecosystem Potential	Market Entry Barriers	Financial Cost/Feasibility	Scalability & Implementation
Germany	🟢	🟡	🔴	🟡
Malaysia	🟢	🟢	🟡	🟢
New Zealand	🟡	🟢	🟡	🔴
Singapore	🟡	🟢	🟡	🟡
Thailand	🟢	🟡	🟡	🟡
United Arab Emirates (UAE)	🟡	🟢	🔴	🟡
United Kingdom	🟢	🟡	🟡	🟡

Malaysia: Key Market Challenges and Growth Opportunities

Malaysia's Market Entry Obstacles

1. Guidelines around **regulation compliance** adds complexity to the initial setup process

2. **Competition** exists with many drop shipping companies holding a solid market share

3. Many Malaysian SMEs are currently **transitioning to technological infrastructures**

Market Trends & Opportunities

Rapid SME Digital Growth

Malaysian SMEs record fastest digital adoption in ASEAN, expanding at **~20% CAGR** [1]

Rising Demand for Home & Living E-Commerce

Home & living among **fastest-growing segments**, as e-commerce grows **~16%** annually [2]

Bureaucratic Support for Innovation

Government incentives **drive logistics automation** and AI-enabled warehouse innovation

Sources: https://www.mordorintelligence.com/industry-reports/malaysia-digital-transformation-market (1), https://paymentscmi.com/insights/trends-malaysias-ecommerce-market (2)

Situation

Building a Connected Dropshipping Ecosystem: Empowering SMEs while Strengthening Supply Infrastructure

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Front-End: Establishing an Ecosystem



Establishing Partnerships

Working with TikTok Shop to integrate Dropshipzone as a backend supplier



Communicating Value Prop

Partnering with drop shipping influencers to create a social media presence



Onboarding Drop Shippers

Adding easy-to-follow onboarding guides to integrate drop shippers into the AirOxy network

Back-End: Laying out the Logistics



Identifying Suppliers

Highlight local suppliers to partner with to establish a network in Malaysia



Acquiring Space for Inventory

Identifying a warehouse to lease and buy during Y1 and Y3 to maintain inventory

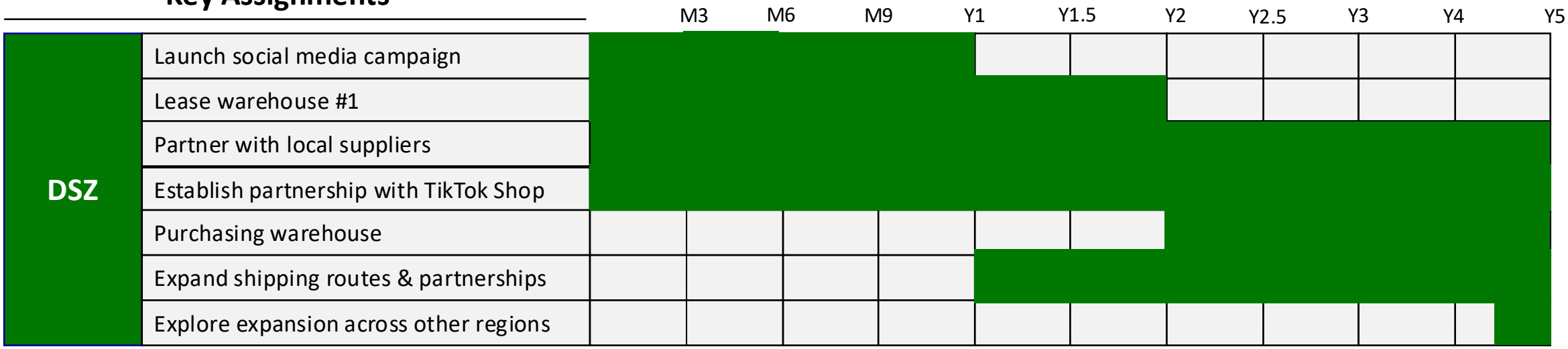


Laying Groundwork for Scalability

Showcase shipping routes available and proving why Malaysia is a hub for long-term partnerships and scaling

Execution Timeline across 5 years: From Market Entry to Regional Scale-Up

Key Assignments



Immediate Next Steps

1. Launch Media Campaign
2. Lease Warehouse
3. Identify Local Suppliers
4. Ensure Compliance Regulation
5. Leverage AirOxy Synergies

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Front-End

Establish a one-stop e-commerce ecosystem, unique from existing dropshipping suppliers, by partnering with TikTok Shop



Back-End

Understanding the logistics to ensure that a product gets from location A to location B, and where will it be stored in the meantime

Understanding the Key Questions to Answer

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Front-End: Establishing an Ecosystem



1. What is Dropshipzone's value proposition in the Malaysian market?



2. How can Dropshipzone drive drop shipper acquisition onto the platform?



3. How can Dropshipzone ensure long-term dropshipper retention?

Back-End: Laying out the Logistics

1. Where are you getting your supplies from - Who will you partner with?

2. Where are you going to store your inventory - Which warehouses will you utilize?

3. How will you ensure customers receive their goods - What shipping routes exist?

Current Pain Points Faced By Malaysian Dropshippers and Customers

Pain Points of Dropshippers



Long and unpredictable shipping times



Inventory discrepancies affecting sales



Inadequate communication with fulfilments

Pain Points of Customers



Delayed or unpredictable delivery times



Receiving damaged or incorrect products



Poor customer service/return policies

Always-ready local inventory and AirOxy's optimization technology ensures high-demand SKUs are restocked proactively.

Dropshipzone's specialization in home goods and furniture provides new underserved categories with fast and reliable delivery.

Why Malaysia?

AirOxy directly solves Malaysia's key dropshipping issues, creating the perfect market where customers are ready to switch.

Source: [1] FedEx

TikTok Shop Partnership Strategy in Malaysia

TikTok Shop As a Partner

TikTok's integrated social commerce platform allows users to buy products directly through short videos, live streams, and marketplace

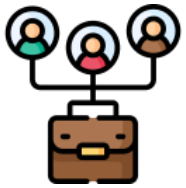
Incentives for TikTok Shop

Improve Logistics



TikTok's fulfillment network is not as robust as Shopee's[1]

Diversify Products



TikTok focuses on fashion, electronics, and lifestyle goods

Integrate AI Analytics



AirOxy empowers TikTok Shop sellers with AI insights

Strategic Advantages with TikTok Shop

1. **Explosive User Growth**
   Records 100M+ product searches every day by local online shoppers[2]



2. **Rapid Sales Growth**
   140% YoY sales growth in Malaysia during key 2025 campaign periods[3]



3. **Highest Conversion Rate**
   Conversion rate is 6.8%, superior to competitors (Shopee/ Lazada)[4]



4. **Strong Seller Support Tools**
   Connects products, sellers, and content creators in "shoppertainment"



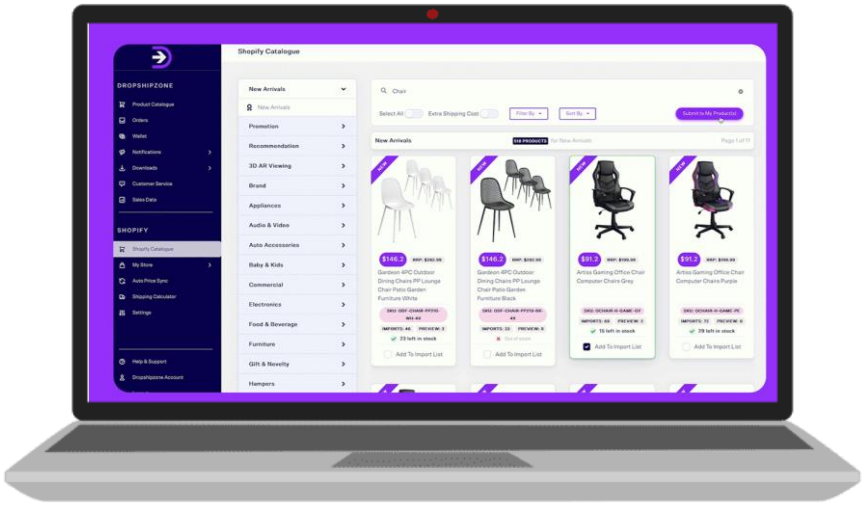
Why Malaysia?

Malaysians spent RM12.07 billion (~AUD4.4 billion) on TikTok Shop in 2024, making it the world's 6th biggest TikTok Shop market[5]

Source: [1] SNT Global, [2] The Star, [3] Malaysia SME, [4] Mingzhi International Journal of Business, *[5] World of Buzz*

User Flow of Dropshipzone and TikTok Shop's Partnership

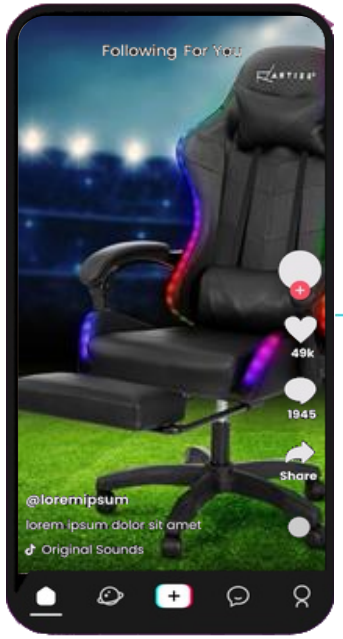
1. Sellers select items from Dropshipzone's catalogue



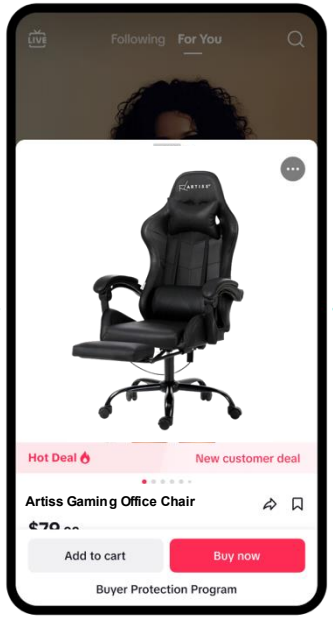
Dropshipzone connects directly with TikTok Shop Seller Center

2. Instantly list them on TikTok shop, available to customers

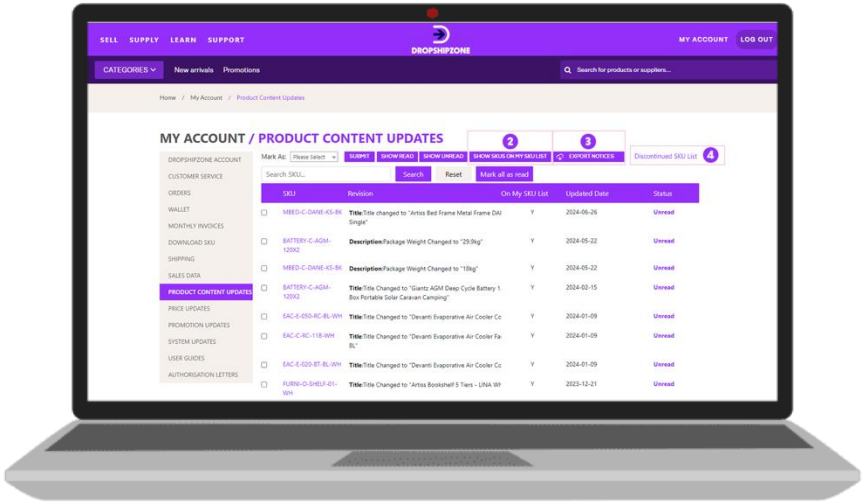
Product Link



Product Detail Page



3. After purchase, order routes automatically to Dropshipzone



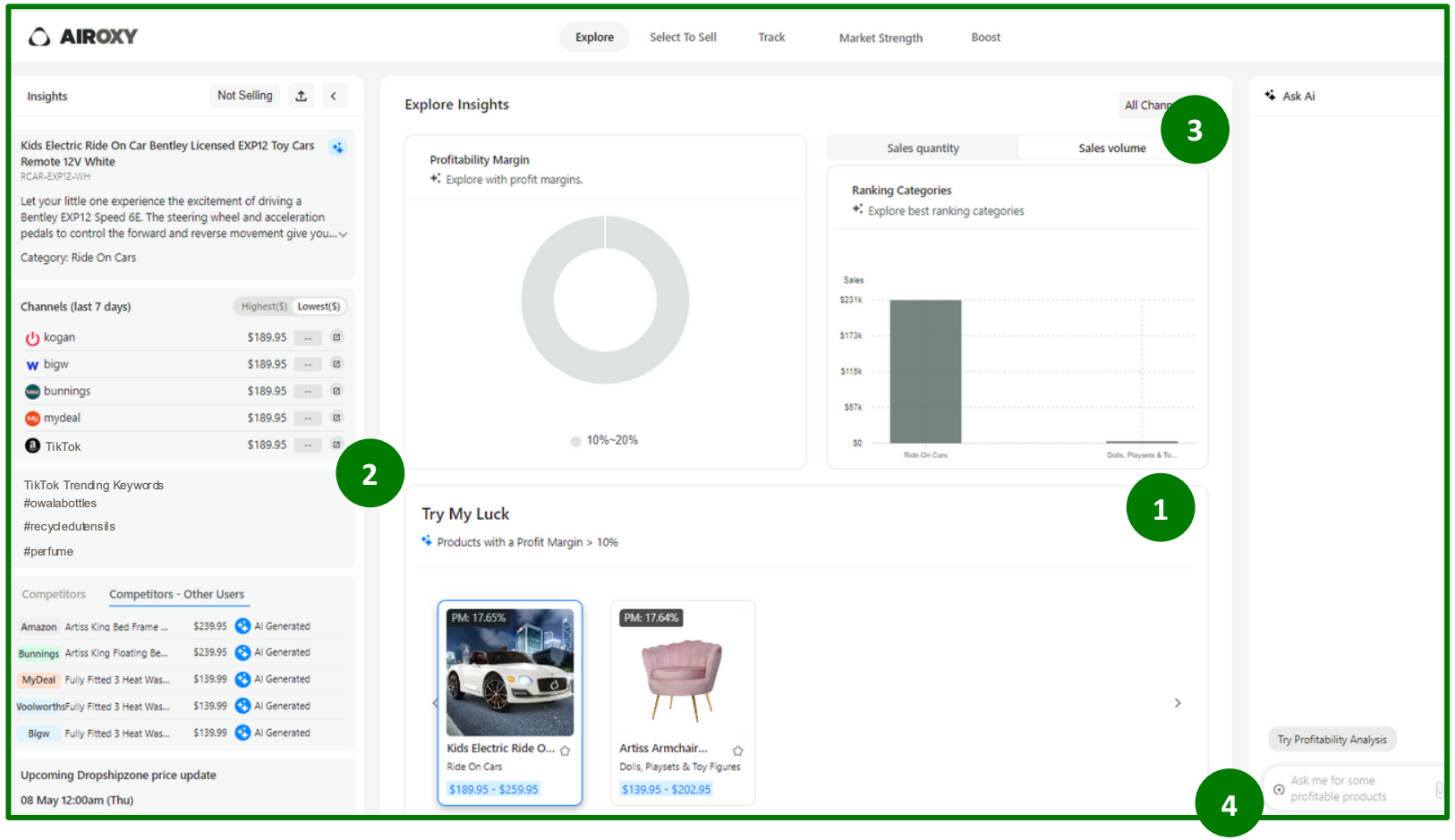
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Source: [1] World of Buzz

Front-End

Empowering TikTok Sellers with AirOxy's AI-Powered Analytics



1. Identifies fast-moving SKUs on TikTok Shop
2. Suggests keywords and video content tailored to TikTok's algorithm
3. Insights for major sales events (e.g., 11.11, 12.12, Ramadan/Raya)
4. AI chatbot function for those unfamiliar with the technology

Why Malaysia?

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Front-End

Social Media and Influencer Marketing to Gain Exposure

Influencer Partners

Use micro-influencers to penetrate SME communities by targeting aspiring dropshippers including students, side-hustlers, small shop owner



Andika Putera
TikTok @andikaputeraa | 1.2M followers
Dropshipping tips, local e-commerce growth hacks



AbangNaz
TikTok @abang_naz | 598K followers
Digital marketing, scaling e-commerce in Malaysia

Why Influencer Marketing

1. 63% of Malaysians rely on influencer recommendations rather than advertisements[1]
2. Over 83% of Malaysians use social media actively, spending nearly three hours daily online[2]
3. Recommendation engine prioritizes educational content e.g. “how to start a small business” or “side hustles”[3]

Why Malaysia?
With one of the world’s highest trust levels in influencers, offers the perfect environment to educate and convert new dropshippers fast.

Source: [1] INSG, [2] Digital Business Labs, [3] Sotrender

Front-End

A Modified Onboarding Process Based On Malaysian Culture and Ecosystem

Current Onboarding Process	Malaysia-Specific Pain Points	Adjusted Onboarding
 Simple sign-up process for retailers, with a user-friendly dashboard[1]	Malaysian sellers often prefer Bahasa Malaysia, mixed English, or even Mandarin/ Cantonese[3]	Develop videos and documentation in Bahasa Malaysia and Chinese
 Seamless connection to e-commerce platforms, with “click-and-connect”[2]	Many dropshippers operate on social commerce platforms and are unfamiliar with	Guided one-click API integration through social commerce platforms
 All orders, stock levels, and fulfillment are tracked automatically[2]	Malaysian digital entrepreneurs operate using WhatsApp/Telegram with more traditional inventory tracking[4]	Create moderated Whatsapp community to receive peer and staff support

Why Malaysia?

Malaysia is ranked top 3 in digital economy adoption in ASEAN, showing strong openness to new online tools and platforms[5]

Source: [1] Case, [2] Dropshipzone, [3] Holidify, [4] Awani International, [5] Margin Business

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1. Where are you getting your supplies from - Who will you partner with?



2. Where are you going to store your inventory - Which warehouses will you utilize?



3. How will you ensure customers receive their goods - What shipping routes exist?

Understanding Potential Partnerships

Australia Partners

MYER

Woolworths

BUNNINGS warehouse

Criteria

1. **Does it benefit New Aim?**
   Yes – brand awareness and partnerships to build relationships in Malaysia
2. **Does it benefit the partners?**
   Yes – more avenues of revenue are reached, and they have extended market access
3. **Does it cover the inventory?**
   Yes – these companies cover New Aim's top two categories of products

Potential Malaysian Partners

SK

BRIGHTNESS APPAREL

LII HEN

Why Malaysia?

Malaysia's supplier base directly aligns with New Aim's core categories in home goods, providing a ready network for partnerships.

Back-End

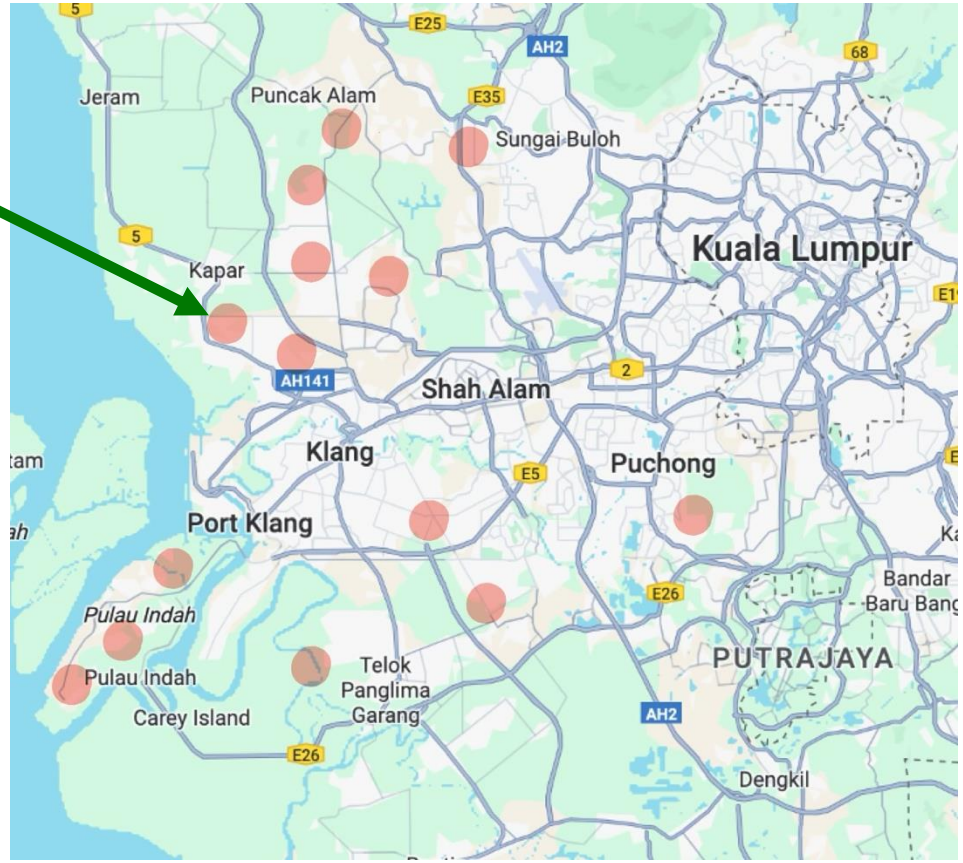
Warehouse in Malaysia to Lease in Year 1



Kapar Warehouse

This area is a rapidly expanding industrial featuring modern and spacious factories with strategic connectivity to major highways and ports

Malaysia



Key Characteristics

1. Matches the 20,000 sq m

This warehouse is equivalent to the sizing Dropshipzone currently has for each warehouse in Australia

2. Proximity to population

Warehouse location is helpful when exporting goods and has good avenues of routes

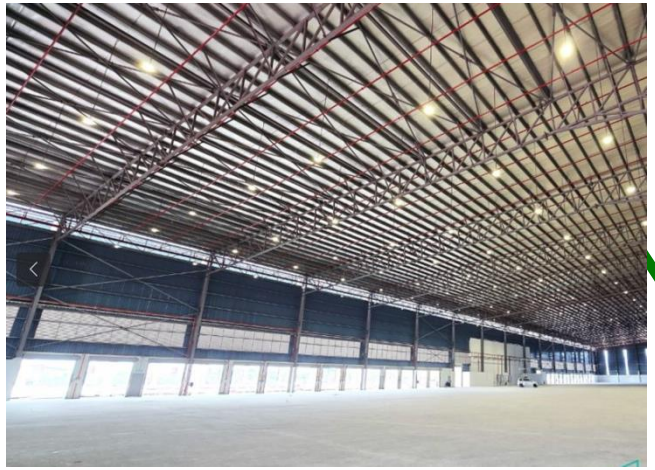
3. Strong access to routes

Near various ports providing easy access for shipping all around

Why Malaysia?

Abundant, low-cost land near key ports makes Malaysia ideal for affordable warehousing with strong logistics access

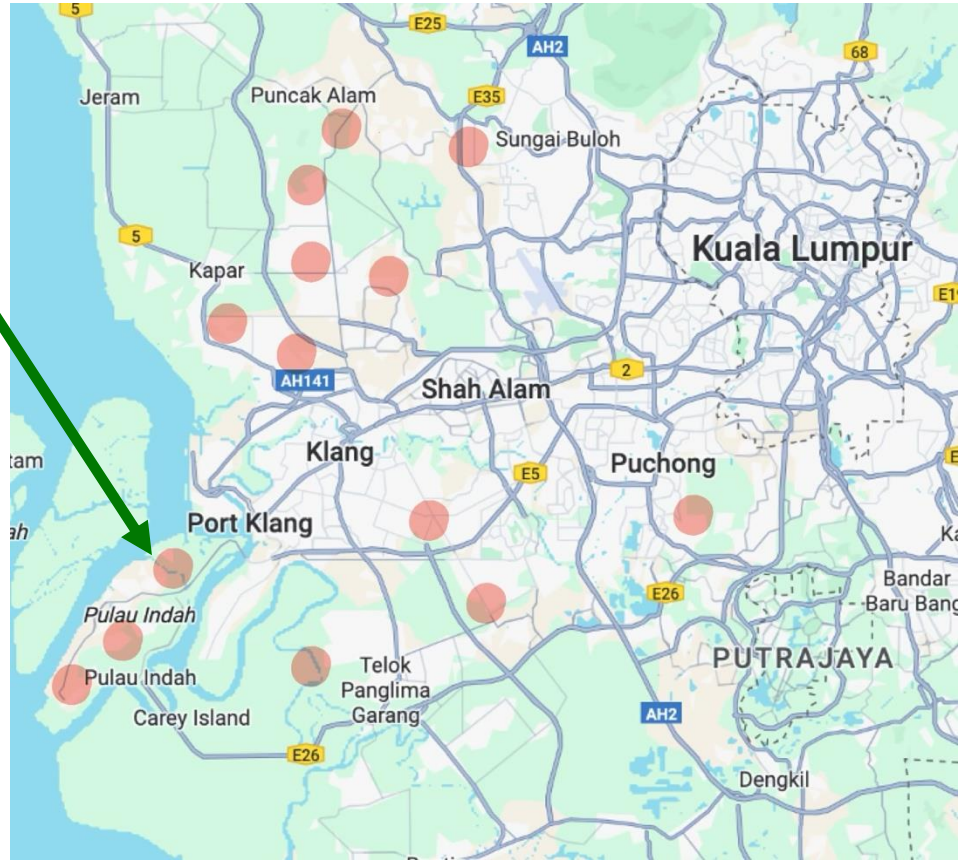
Warehouse in Malaysia to Purchase in Year 3



Pulau Indah Industrial Park

Pulau Indah Industrial Park is a government-backed, port-proximate industrial zone near Port Klang, designed as a strategic export-driven hub

Malaysia



Key Characteristics

1. Accounts for increase in sq m

This takes into account the new inventory from years 1 and 2 that need to be stored at the warehouse

2. Proximity to population

Warehouse location is helpful when exporting goods and has good avenues of routes

3. Strong access to routes

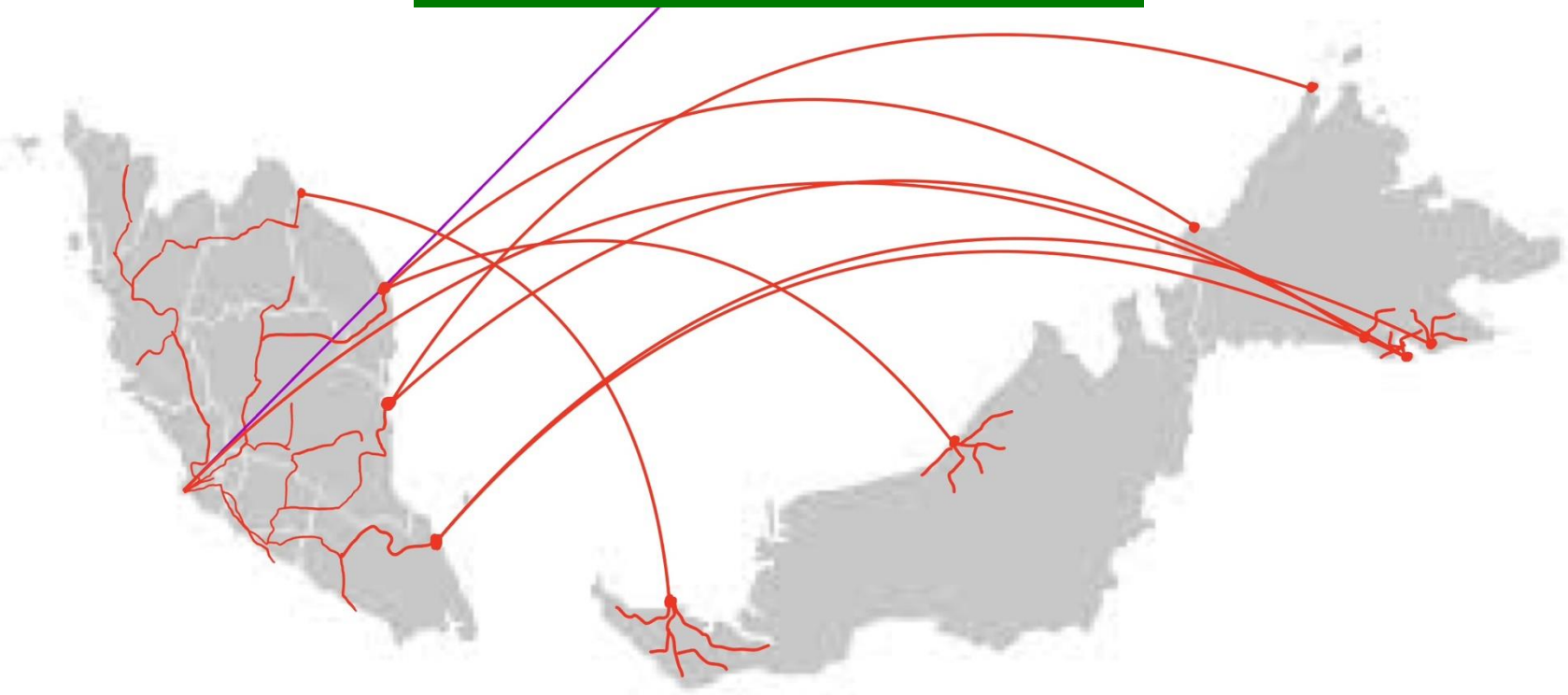
Near various ports providing easy access for shipping all around

Why Malaysia?

Abundant, low-cost land near key ports makes Malaysia ideal for affordable warehousing with strong logistics access

Shipping Routes Across Malaysia

Malaysia Map



Purple = shipping route from China

Red = shipping route within Malaysia

Shipping Routes

1. **Central Location**
   Strategic crossroads of ASEAN, making it the natural gateway for distribution



2. **Port Connectivity**
   Enables cost-effective connections to domestic and neighboring markets



3. **National Coverage**
   Easy to reach every part of the country quickly and reliably—crucial for e-commerce

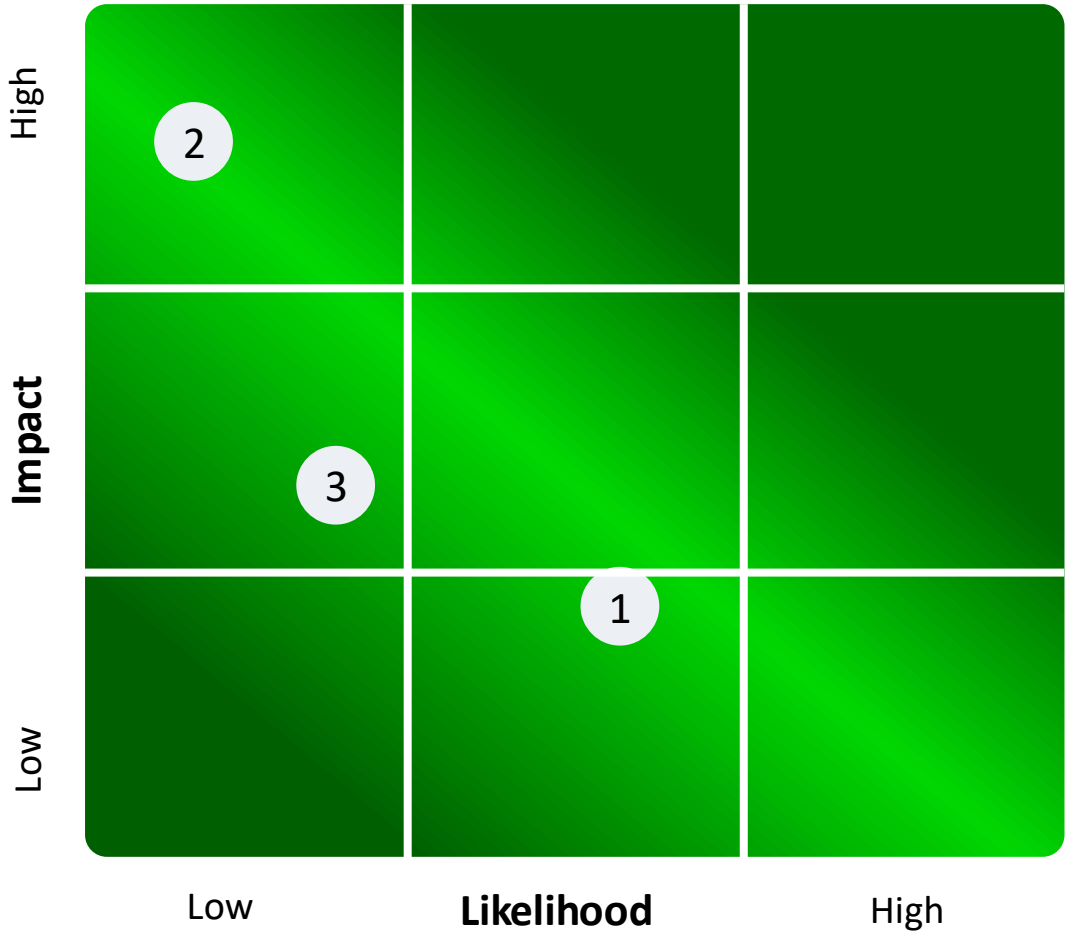


Why Malaysia?

With one of Southeast Asia's most connected port and highway networks, Malaysia offers unmatched nationwide logistics efficiency

Understanding Potential Risks of the Strategy

We considered both the likelihood and impact of key risks

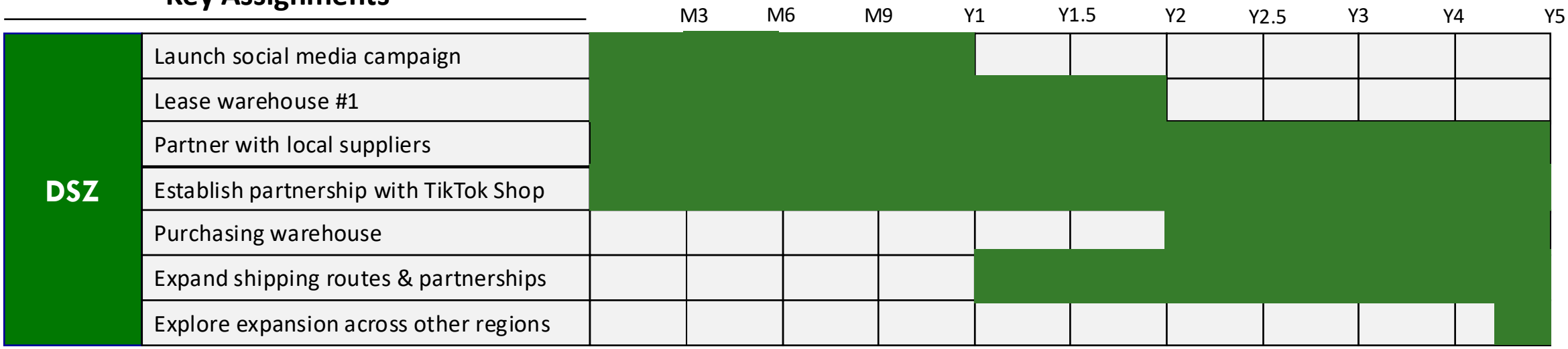


Mitigations for potential execution risks

Risk	Mitigant
1. Fragmented East and West areas of Malaysia	Several ports on both areas and New Aim can work with 3PLs to offer direct port-to-port shipments
2. Low number of drop shippers utilizing New Aim	Implement a marketing plan and emphasize value proposition to help differentiate New Aim
3. Supplier Reliability	New Aim has a built in on boarding process to help suppliers, and you can leverage the existing program from Australia

Execution Timeline across 5 years: From Market Entry to Regional Scale-Up

Key Assignments



Immediate Next Steps

1. Launch Media Campaign
2. Lease Warehouse
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Impact

Is this plan feasible? Understanding the financial pathway from revenue generation to cost allocation to assess long-term profitability.

Impact

5-Year Revenue Projection: What's the incremental top-line impact? KPIs?

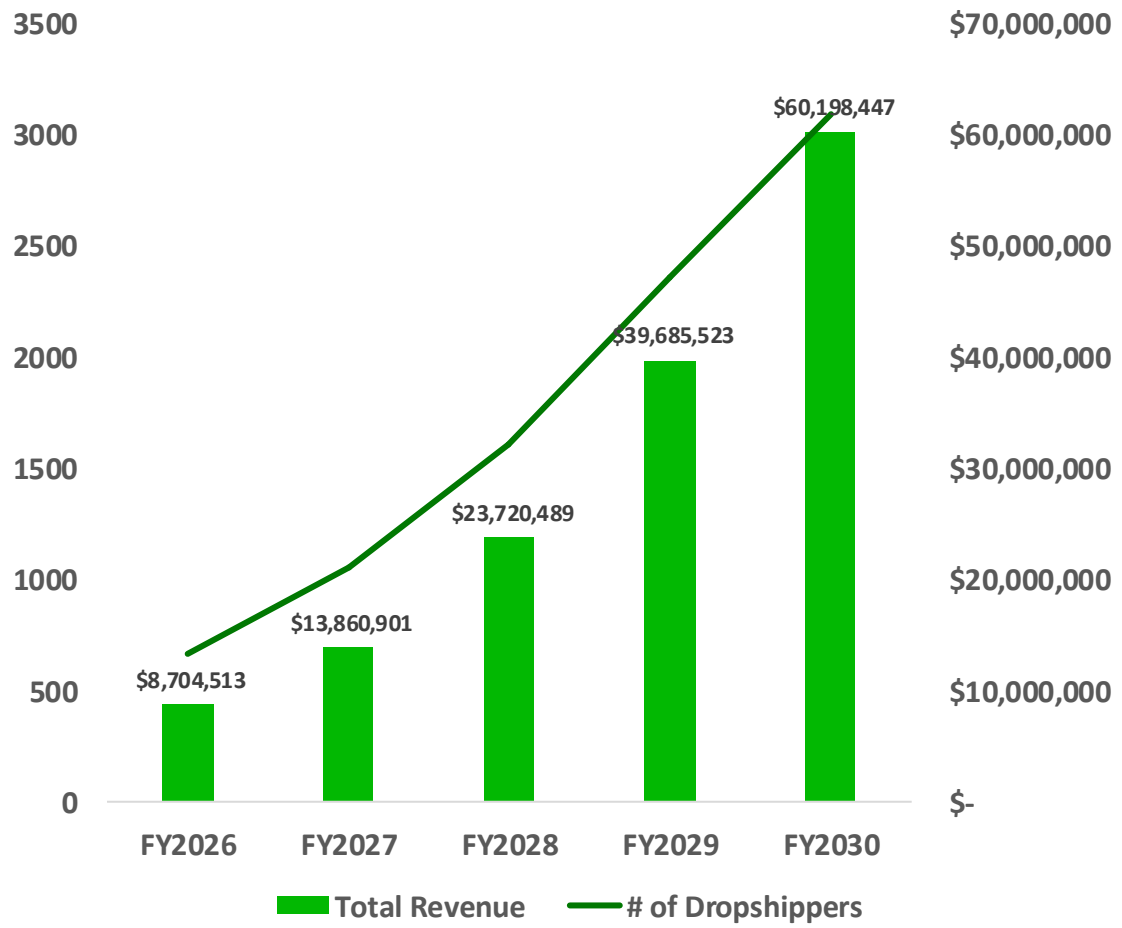
5-Year Revenue Projection (Malaysia Standalone)

of Dropshippers

of Social Media Impressions
x Click-Through Rate
= # of Clicks
x Lead Conversion Rate
= # of Leads Generated
x Sign-Up Conversion Rate
= # of Registered Dropshippers

Revenue

of Registered Dropshippers
x Active User Rate
= # of Active Dropshippers
x Annual Orders per Dropshipper
= # of Total Annual Orders
x AOV (Malaysian Household Items)
(Malaysian AOV x % Premium)
= Total Revenue



Dropshippers

~3100

Dropshippers by Y5

Social Media

15 million

Impressions (5Y)

Revenue

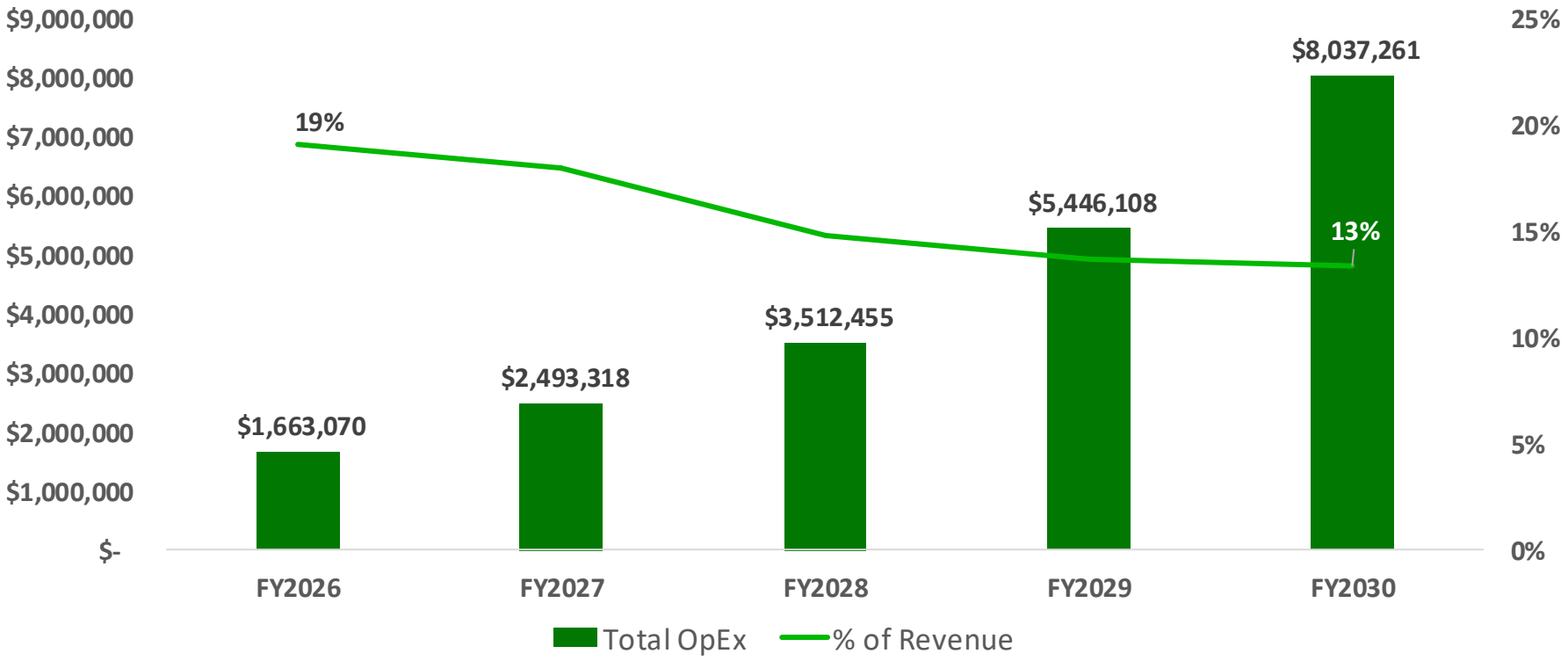
$60 million

In Year 5

Impact

Costs: Is this strategy financially feasible?

5 Year Cost Build (P&L Expenses)



The expense build followed historical margins, excluding marketing and rent/D&A, modeled separately by campaign funnel and warehouse timeline, respectively. **While overall OpEx increased, OpEx as a % of revenue decreased, driven by scaling revenue hedged against fixed costs.**

Cost Constraints

Historical P&L (FY'22 – FY'24)
OpEx % of Rev: 16%

Assumptions
Marketing % of OpEx: 25%
Wages % of OpEx: 40%
D&A % of OpEx: 18%

(New) Cost Drivers

Social Media & Marketing

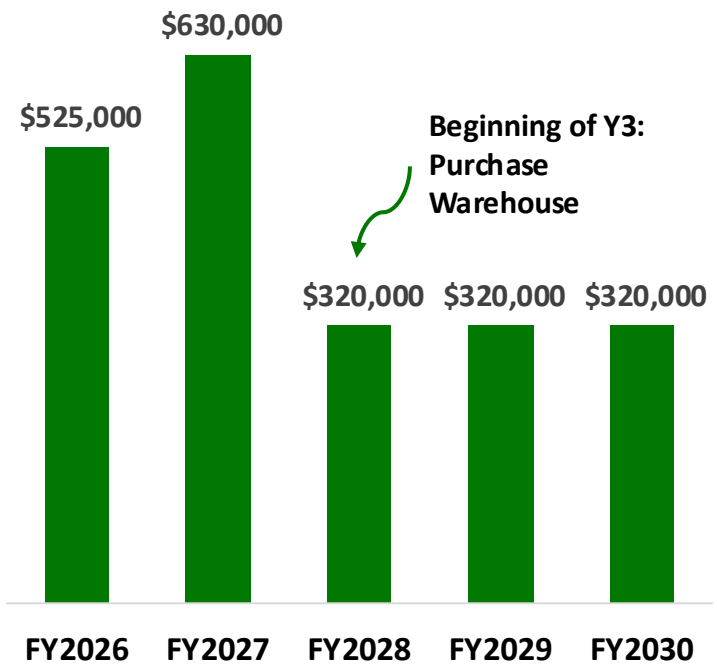
Onboarding Staff Wages

Warehouse Lease/Depreciation

Impact

Costs: Deep Dive Into Warehouse Rental & Purchase

Warehouse Financing Logistics



Rent Expense/Depreciation
Total expense is higher during leasing; post-purchase, depreciation is lower - improving profitability long term.

PURCHASE PRICE
$8,000,0000

Cash (30%)
$2.4mm

Debt (70%)
$5.6mm

Interest Rate
14%

Determined by averaging historical interest expense over interest-bearing debt.

Leverage Ratio (FY28)
1.6x

Coverage Ratio (FY28)
2.1x

Cost Constraints

Historical P&L (FY'22 – FY'24)
OpEx % of Rev: 16%

Assumptions
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Wages % of OpEx: 40%
D&A % of OpEx: 18%

(New) Cost Drivers

Social Media & Marketing

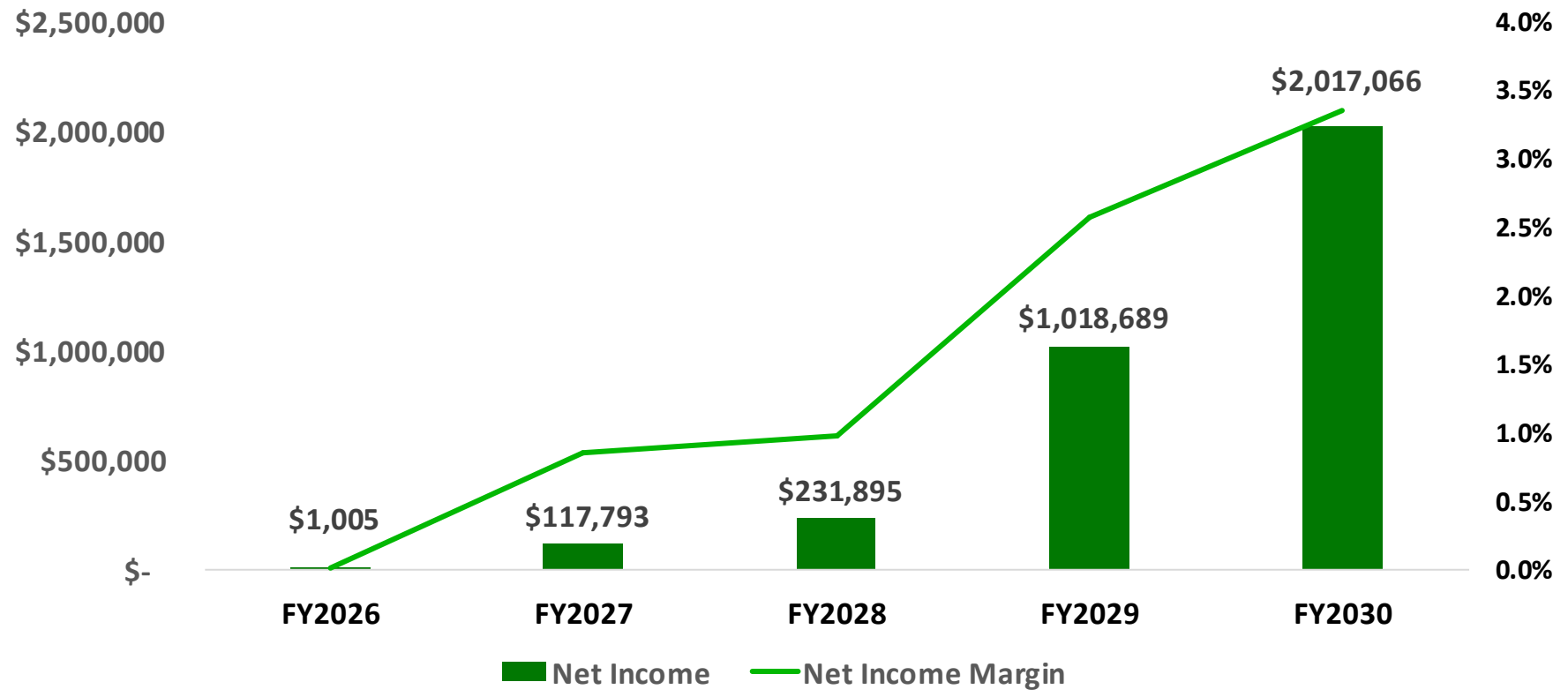
Onboarding Staff Wages

Warehouse Lease/Depreciation

Impact

Profitability Timeline: What's the bottom-line impact?

Profitability Timeline



Choosing EBITDA vs Net Income Margin To Measure Profitability

Net income is selected as it provides a more accurate measure of profitability given the capital-intensive nature of warehouse investments and related depreciation

Are Margins Realistic?

Margins are based on historical performance, incorporating interest expense and Malaysian tax rates, with investment costs manually calculated to reflect market entry dynamics

Profitability Comparison?

Profitability exceeds benchmarks, with projected net income margin surpassing FY'25 figures in NewAim's 1% and Dropshipzone's 1.5%, reflecting a realistic, self-sustaining forecast with break-even in Year 1.

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By Year 5

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In Year 5

1.8M Total Orders
By Year 5



Appendix

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S4: Warehouse to Buy
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I4: Social Media & Dropshippers Build
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I6: Cost Build
I7: Forecasted P&L
I8: Leverage & Coverage Ratio

Historical P&L (New Aim)



Historical Balance Sheet

Redacted

FY'24 P&L (Dropshipzone)

Redacted

Social Media & Dropshippers Build

SOCIAL MEDIA --> DROPSHIPPERS BUILD					
	FY2026	FY2027	FY2028	FY2029	FY2030
Impressions	1,500,000	2,200,000	2,900,000	3,700,000	4,500,000
Click-Through Rate (CTR)	1.8%	1.9%	2.0%	2.1%	2.2%
Clicks	**27,000**	**41,800**	**58,000**	**77,700**	**99,000**
Lead Conversion	7%	7%	7.50%	8%	8%
Leads Generated	**1,890**	**2,926**	**4,350**	**6,216**	**7,920**
Sign-Up Conversion (lead	35%	36%	37%	38%	39%
Registered Dropshippers	**662**	**1,053**	**1,610**	**2,362**	**3,089**

Revenue Build

REVENUE BUILD					
	FY2026	FY2027	FY2028	FY2029	FY2030
	30-Jun-26	**30-Jun-27**	**30-Jun-28**	**30-Jun-29**	**30-Jun-30**
# of Dropshippers	661.5	1053.36	1609.5	2362.08	3088.8
Growth Rate		55%	50%	45%	40%
Active Rate	92%	92%	92%	92%	92%
# of Active Dropshippers	**606**	**966**	**1475**	**2165**	**2831**
Monthly Orders Per Drops	15	15	17	19	22
		10%	12%	14%	16%
# of Months / Year	12	12	12	12	12
Annual Orders Per Dropsl	**180**	**180**	**202**	**230**	**267**
Average Order Value (Mal	55	55	55	55	55
% Premium (Household It	0.45	0.45	0.45	0.45	0.45
Average Order Value (Mal	**80**	**80**	**80**	**80**	**80**
Total Revenue	**$ 8,704,513**	**$ 13,860,901**	**$ 23,720,489**	**$ 39,685,523**	**$ 60,198,447**

Cost Build

COST BUILD					
SOCIAL MEDIA					
Meta / Instagram Ads	$ 90,000	$ 135,000	$ 168,750	$ 202,500	$ 222,750
TikTok / Influencer Partnei	$ 100,000	$ 180,000	$ 220,000	$ 250,000	$ 300,000
Shopee / Lazada Co-Mark	$ 40,000	$ 70,000	$ 150,000	$ 250,000	$ 450,000
Search & Retargeting (Goo	$ 20,000	$ 35,000	$ 120,000	$ 250,000	$ 400,000
Content & Community Evi	$ 15,000	$ 29,000	$ 65,000	$ 90,000	$ 150,000
Total Marketing Spend	**$ 265,000**	**$ 449,000**	**$ 723,750**	**$ 1,042,500**	**$ 1,522,750**
Onboarding Staff Salaries	$ 13,000	$ 28,000	$ 45,000	$ 100,000	$ 150,000
Contract Trainers / Tempo	$ 9,000	$ 16,000	$ 30,000	$ 55,000	$ 85,000
Training Materials & Trans	$ 4,000	$ 7,000	$ 10,000	$ 13,000	$ 17,000
Incentive Bonuses for Act	$ 16,000	$ 38,000	$ 50,000	$ 128,000	$ 208,000
Platform & Admin Support	$ 5,000	$ 9,900	$ 12,600	$ 21,400	$ 21,600
Total Onboarding Wages	**$ 47,000**	**$ 98,900**	**$ 147,600**	**$ 317,400**	**$ 481,600**
Warehouse Cost		$ 8,000,000		**Useful Life**	**25**
Debt	70%	$ 5,600,000			
Cash	30%	$ 2,400,000			

Forecasted P&L

Forecasted P&L	FY2026	FY2027	FY2028	FY2029	FY2030
Revenue	**$ 8,704,513**	**$ 13,860,901**	**$ 23,720,489**	**$ 39,685,523**	**$ 60,198,447**
Gross Profit	**$ 1,664,410**	**$ 2,650,375**	**$ 4,535,649**	**$ 7,588,360**	**$ 11,510,683**
Gross Margin	*19%*	*19%*	*19%*	*19%*	*19%*
Base OpEx	$ 826,070	$ 1,315,418	$ 2,251,105	$ 3,766,208	$ 5,712,911
OpEx % of Rev	*9%*	*9%*	*9%*	*9%*	*9%*
Modeled OpEx					
Marketing	$ 265,000	$ 449,000	$ 723,750	$ 1,042,500	$ 1,522,750
Onboarding Wages	$ 47,000	$ 98,900	$ 147,600	$ 317,400	$ 481,600
Rent	$ 525,000	$ 630,000	0	0	0
D&A	0	0	$ 320,000	$ 320,000	$ 320,000
Total OpEx	**$ 1,663,070**	**$ 2,493,318**	**$ 3,442,455**	**$ 5,446,108**	**$ 8,037,261**
OpEx % of Revenue	**19%**	**18%**	**15%**	**14%**	**13%**
Operating Income	**$ 1,340**	**$ 157,057**	**$ 1,093,194**	**$ 2,142,252**	**$ 3,473,422**
Operating Margin	0.02%	1.13%	4.61%	5.40%	5.77%
Interest Expense	0	0	$ 784,000	$ 784,000	$ 784,000
Pre-Tax Income	**$ 1,340**	**$ 157,057**	**$ 309,194**	**$ 1,358,252**	**$ 2,689,422**
- Tax	$ (335)	$ (39,264)	$ (77,298)	$ (339,563)	$ (672,355)
Net Income	**$ 1,005**	**$ 117,793**	**$ 231,895**	**$ 1,018,689**	**$ 2,017,066**
Net Income Margin	0.0%	0.8%	1.0%	2.6%	3.4%

Leverage & Coverage Ratio

LEVERAGE & COVERAGE RATIO			
Debt		**Interest**	
New Aim FY2025 Debt	$ 38,387,000		
New Aim FY 2028 (Estima	$ 40,000,000	New Aim FY 2028	$ 5,600,000
Debt from Warehouse Pur	$ 5,600,000	Interest from Warehouse Purcl	$ 784,000
FY 2028 (Total Debt)	**$ 45,600,000**	**FY 2028 (Total Interest)**	$ 6,384,000
FY 2028 EBITDA (New Aim	26,489,863	FY 2028 EBIT (New Aim)	12,021,255
FY 2028 EBITDA (Malaysia	$ 1,413,194	FY 2028 EBIT (Malaysia)	$ 1,093,194
FY 2028 EBITDA	**$ 27,903,057**	**FY 2028 EBIT**	**$ 13,114,448**
Leverage Ratio	1.6	**Coverage Ratio**	**2.1**

Countries Summary

Countries Considered	Ecosystem Potential	Market Entry Barriers	Financial Cost/Feasibility	Scalability & Implementation
Germany				
Malaysia				
New Zealand				
Singapore				
Thailand				
United Arab Emirates (UAE)				
United Kingdom				

New Zealand Breakdown

CRITERIA	DESCRIPTION
Demand & Total Addressable Market	Total population is only about 5 million. While online penetration is high, that inherently limits the total addressable market.
Local Competition for Dropshipping	The domestic market is already dominated by players like TradeMe (which holds 45%+ share in online retail).
Logistic and Operational Complexity	Island geography and dispersed population pose significant logistics challenges and cost inefficiencies for large-scale warehouse-based operations.
Regulations on Foreign Businesses and Tariffs	Simplified cross-border trade under the CER Agreement with Australia makes entry administratively easy, but it does not offset limited market scale and higher operational costs.
Self-functioning Ecosystem	Strong digital readiness and SME adoption initiatives, but the ecosystem is service-oriented rather than supplier-driven, restricting B2B partnership potential for Dropshipzone.

Limited market size and high competition create a low ceiling for sustainable growth in New Zealand.

United Kingdom Breakdown

CRITERIA	DESCRIPTION
Demand & Total Addressable Market	The UK's e-commerce market exceeds USD 150B. However, its maturity limits growth potential (CAGR < 6%), and consumer trends lean toward established brands favoring incumbents.
Local Competition for Dropshipping	Highly saturated market with dominant players. Intense price-based competition and customer expectations for next-day delivery create little differentiation opportunity
Logistic and Operational Complexity	Strong logistics infrastructure but rising post-Brexit costs, customs delays, and higher warehouse rent reduce operational efficiency.
Regulations on Foreign Businesses and Tariffs	Post-Brexit import/export rules increase compliance burdens for non-UK firms. Market entry remains possible but more administratively complex and expensive.
Self-functioning Ecosystem	Digitally advanced and SME-supported ecosystem, yet it prioritizes innovation over integration. Dropshipzone's supplier-partner model would face difficulty embedding into UK networks.

High competition and limited supplier network make the UK an oversaturated and difficult market for new entry.

Germany Breakdown

CRITERIA	DESCRIPTION
Demand & Total Addressable Market	Total population is only about 5 million. While online penetration is high, that inherently limits the total addressable market.
Local Competition for Dropshipping	Very high competition with established players like Amazon, Zalando, and many local dropshippers
Logistic and Operational Complexity	Customers have high delivery expectations (1–3 days domestic, ~1 week EU), and operational costs can be high
Regulations on Foreign Businesses and Tariffs	This high VAT of 19% creates a significant pain point for international companies
Self-functioning Ecosystem	Well-developed, self-functioning supplier ecosystem, with abundant local and EU-based dropshipping suppliers

High competition and strict VAT regulations make German expansion costly & entry difficult.

Singapore Breakdown

CRITERIA	DESCRIPTION
Demand & Total Addressable Market	Singapore's market size is inherently limited— only ~5.9M people and a smaller supplier base. Malaysiahas a much larger TAM (~USD 16–18B vs. Singapore's ~USD 9B).
Local Competition for Dropshipping	Market is dominated by established dropshipping companies which specialize in home goods and living like Eprolo and WooCommerce.
Logistic and Operational Complexity	High operating costs severely limit scalability. Very minimal to no land available unless high cost. Malaysia offers comparable logistics connectivity at 60–70% lower cost.
Regulations on Foreign Businesses and Tariffs	Singapore is business-friendly, but already a magnet for multinationals, raising entry costs and competition intensity. For SMEs and dropshipping-focused ecosystems, Malaysia's is more affordable.
Self-functioning Ecosystem	Singapore's ecosystem is digitally mature, but it's skewed toward enterprise-level players and logistics giants like Ninja Van and SingPost. Limited participation from grassroots SMEs.

Singapore's small market size, high costs, and limited supplier landscape make for difficult entry.

Thailand Breakdown

CRITERIA	DESCRIPTION
Demand & Total Addressable Market	Total population in Thailand in 2025 is approximately 71.6 million people. While online penetration is high, that inherently limits the total addressable market.
Local Competition for Dropshipping	The Thailand market is rapidly saturating with local entrepreneurs and cross-border suppliers, creating heavy competition but with less sophisticated merchant and fulfillment networks
Logistic and Operational Complexity	Thailand suffers from significant regional infrastructure gaps and inconsistent logistics capabilities, particularly affecting rural areas and last-mile delivery, introducing costly delays
Regulations on Foreign Businesses and Tariffs	Thailand maintains restrictive foreign ownership regulations (typically capping foreign investors at 49%) and complex licensing and VAT rules
Self-functioning Ecosystem	Thailand's supplier ecosystem is still developing with fewer mature dropshipping and B2B sourcing platforms available, lacking the broad, integrated supplier base and digital readiness

Thailand's weak logistics, foreign ownership limits, and underdeveloped supplier ecosystem hinder scalability.

UAE Breakdown

CRITERIA	DESCRIPTION
Demand & Total Addressable Market	High per-capita spending but a small population (≈10 M) limits long-term revenue potential.
Local Competition for Dropshipping	Established dropshipping platforms such as Noon and Desertcart, making market entry highly competitive.
Logistic and Operational Complexity	Excellent infrastructure offset by expensive warehousing, delivery, and labor costs that compress margins.
Regulations on Foreign Businesses and Tariffs	Strict local-ownership laws and costly free-zone licensing increase entry barriers for foreign firms.
Self-functioning Ecosystem	Highly developed import-reliant ecosystem with limited need for intermediary dropship networks.

High consumer spending and infrastructure strength are offset by limited scale and strict ownership rules.

Malaysia Breakdown

CRITERIA	DESCRIPTION
Demand & Total Addressable Market	With a population over 33M and rising digital adoption, Malaysia offers regional-scale demand — larger than Singapore and New Zealand combined.
Local Competition for Dropshipping	There's no robust B2B dropshipping backend which specializes in home goods and living. Integrating suppliers and SMEs beneath existing retail platforms rather than competing with them.
Logistic and Operational Complexity	Malaysia's logistics ecosystem is highly advanced with major ports (Port Klang, Penang). Operating costs are significantly lower than other Asian countries, while infrastructure quality remains world-class.
Regulations on Foreign Businesses and Tariffs	MDEC and ASEAN free trade enable smooth entry for foreign players. Minimal tariffs, simple digital business licensing, and ongoing AI & logistics incentives make it one of the easiest markets.
Self-functioning Ecosystem	77% of SMEs are early in digital transformation (IJOL Journal). There's potential for enablement. MDEC SME Digitalization Grant and MDH provide infrastructure to onboard new suppliers quickly.

Malaysia offers scalable growth, low barriers, and strong digital transformation momentum.

West and East Malaysia Ports



Logistics of Warehouse to Purchase



Home > Detached Factory, New Developments, Warehouse > Warehouse For Rent – Pulau Indah Industrial Park

Rentals | Detached Factory, New Developments, Warehouse

Warehouse For Rent – Pulau Indah Industrial Park

Pulau Indah Industrial Park, Klang/Port Klang, Pulau Indah, Westport

Overview

Updated On:	Property ID	Category	
July 8, 2025	22328	Detached Factory, New Developments, Warehouse	258,886 ft^2

Description

Request Info

Paul

Indust

Your Name

Your Email

Logistics of Leasing Warehouse

BACK



Location	Kapar
Ref ID	JKPR-10000-01
Type	Warehouse
Land Area	9.44 acres
Total Built Up	166,694 sqft
Warehouse	122,201 sqft
Cold Room	44,493 sqft
Eaves Height	**Warehouse:** 70 ft
	Cold Room (Flat roof): 40 ft
Power Supply	1,200 amps
Floor Loading	3.5 tonnes/m2
CCC / CF	March 2020
Rental / Month	**Warehouse:** RM 1.70 psft
	Cold Room: RM 2.70 psft

I'm interested



Name *

E-mail *

Contact number *

Company Name

Malaysia SME Tech Adoption CAGR

Malaysia Digital Transformation Market Analysis by Mordor Intelligence

The Malaysia digital transformation market size stands at USD 10.68 billion in 2025 and is projected to reach USD 25.40 billion by 2030, expanding at an 18.92% CAGR. This sustained trajectory reflects the government's blueprint for a digital-first economy that targets a 25.5% GDP contribution by 2025, backed by hyperscale investments from AWS, Microsoft, and Google that already exceed USD 5 billion.[1] Rapid 5G coverage, now at 82.4% of the population, reduces latency for cloud and edge workloads, while SME-focused grants under the Malaysia Digital program spur mass adoption of enterprise-grade software. Large enterprises account for most current spending, yet aggressive digital incentives for smaller firms are broadening the addressable base faster than in any prior technology cycle. Competitive intensity remains moderate as global hyperscalers own the infrastructure layer, leaving implementation and localization to domestic integrators that understand data-sovereignty and Sharia compliance requirements.

Key Report Takeaways

- By technology type, Cloud and Edge Computing led with 58.52% of Malaysia digital transformation market share in 2024, while Generative-AI Platforms are forecast to expand at a 19.97% CAGR through 2030.
- By deployment mode, cloud solutions captured 70.62% of Malaysia digital transformation market size in 2024 and are advancing at a 20.23% CAGR on the back of government cloud-first policies.
- By enterprise size, large enterprises held 63.41% revenue share in 2024 in the Malaysia digital transformation market; SMEs record the fastest growth at a 20.12% CAGR to 2030, buoyed by grants that fund up to 80% of digital spend.
- By end-user industry, manufacturing commanded 27.96% of Malaysia digital transformation market share in 2024, whereas healthcare is set to post the highest 19.34% CAGR through 2030 as telemedicine scales nationwide.

Source: https://www.mordorintelligence.com/industry-reports/malaysia-digital-transformation-market

Malaysia E-Commerce CAGR

With 88% of the population banked, Malaysia enjoys high digital payment adoption.[1] Domestic sales account for 70% of e-commerce activity,[2] highlighting strong local demand for online retail.

Key e-commerce statistics for Malaysia (data from PCMI)

- **Total e-commerce volume in Malaysia for 2024**: US$23.5 billion
- **Retail e-commerce volume in 2024**: US$16 billion
- **CAGR Malaysia e-commerce for 2024–2027**: 16%
- **Forecasted e-commerce volume in Malaysia for 2027**: US$36 billion

Source: https://paymentscmi.com/insights/trends-malaysias-ecommerce-market/

Sern Kou Partnership

Sern Kou Resources Berhad

HOME ABOUT US SERN KOU PRODUCTS INVESTOR RELATIONS CONTACT



Overview

About Sern Kou Furniture Industries Sdn. Bhd.

Sern Kou is an established resources group listed on the Main Market of Bursa Malaysia Securities Berhad. The Group has more than 25 years of experience and track record in the industry. Sern Kou has two key segments – processing and trading of wood division & manufacturing and trading of furniture segment.

Manufacturing and Trading of Furniture

Our furniture production facilities span across 8.63 acres of land. We specialize in wooden furniture and are primarily involved in producing wooden dining furniture using rubberwood. Besides, we also manufacture living room furniture along with bedroom sets and occasional sets. With more than 30 years of experience and track record in the furniture industry, we are both an Original Design Manufacturer ("ODM") and Original Equipment Manufacturer ("OEM"). The Group is equipped with advanced and sophisticated machinery and technology that enable use to provide customised and in-house designed products to our customers. Our in-house design team churns out more than 40 new designs every year, which are exported to over 19 countries. As part of our emphasis on sustainability, our products are manufactured using cultivated wood.

LII Hen Partnership

LII HEN

lhib@liihenfurniture.com +606 985 7202

HOME ABOUT US PRODUCTS CORPORATE INFORMATION NEWS & EVENTS CONTACT

OUR VISION AND MISSION

Customer's Expectation and Satisfaction

The Group is customer centric and specialises in bedroom sets, dining, living furniture including sofa sets, office furniture and ready to assemble furniture.

We believe that our customers are our partners and we worked with them to bring innovative, reliable and functional furniture that are affordable to the market and in tune with our Group's vision.

One of the Company in the Group is ISO certified and certain companies are members of SEDEX (Suppliers Ethical Data Exchange) . The whole Group adopts the good practices of ISO and SEDEX in its supply chain and manufacturing activities to accomplish its vision and mission of sustainable practices that foster a climate where environmental technologies can thrive through value engineering of replacing timber or rubberwood with recycled or renewal materials in its product mix.

Manufacturing facilities
The Group has installed capacity of approximately 2 million square feet of manufacturing floor space spread over 10 factories located in Muar, Johor to cater to its manufacturing activities.

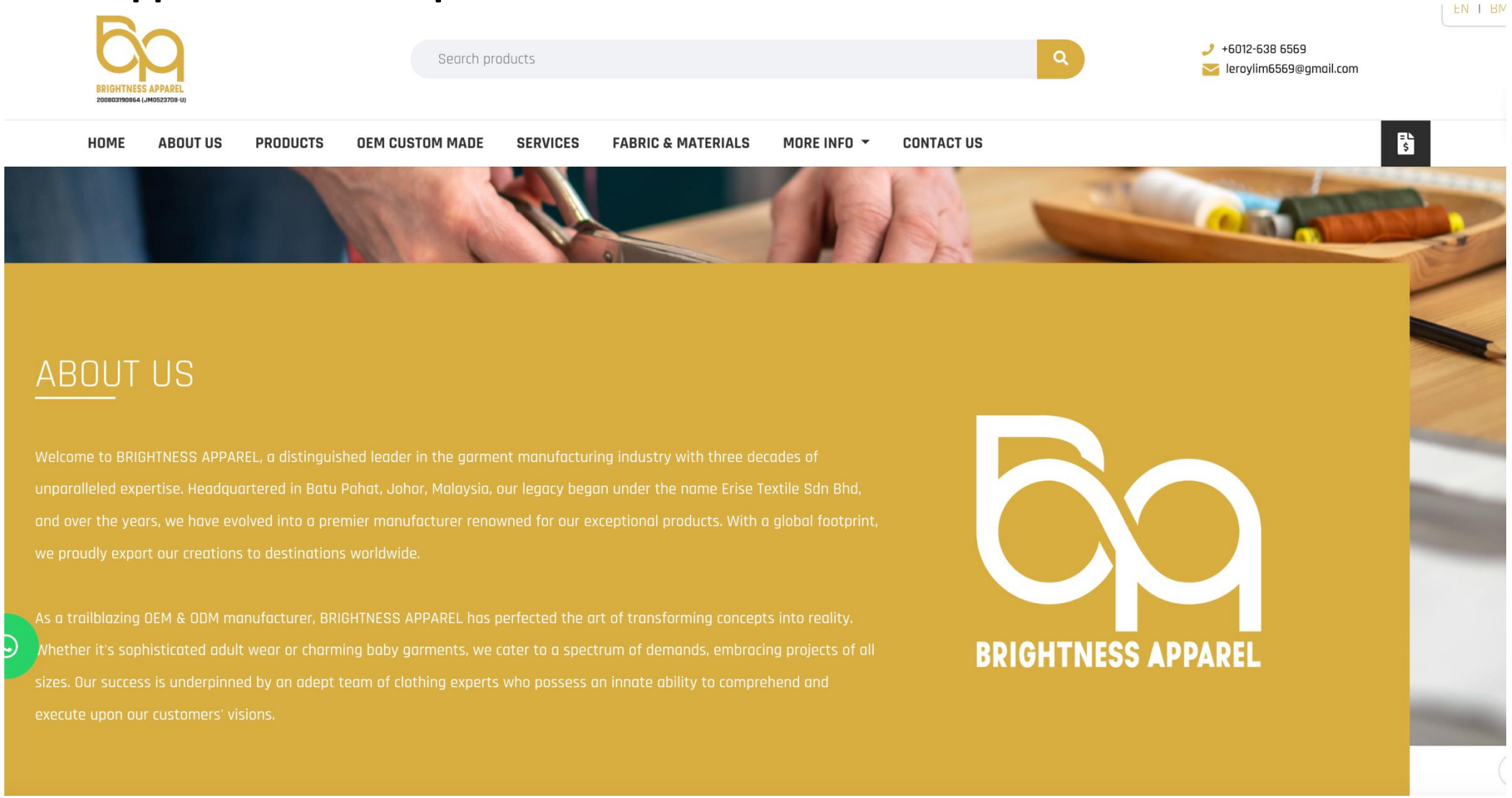
Vision

In line with our tagline " Creative Remodeling Interior" we believe that a beautiful home furniture does not have to compromise on functionality nor it has to be costly.

Mission

Our mission is to produce and continually develop quality products at a competitive price while fostering a climate where environmental technologies can thrive. We will always strive to service our customer with the utmost integrity, and to their complete satisfaction.

Brightness Apparel Partnership



Malaysian E-Commerce Platform Comparison

Malaysian E-commerce Platform Partnership Analysis

Partnership Metrics	Shopee Malaysia	Lazada Malaysia	TikTok Shop Malaysia
Market Share & Dominance	**Strong** 52% SEA GMV Dominant position	**Moderate** 14% SEA GMV Stabilizing share	**Strong** 24% MY GMV 2nd largest
Growth Trajectory	**Strong** 19.5% MY growth 12% regional YoY	**Moderate** Flat growth First profitable yr	**Very Strong** GMV 4x in 2 yrs Rapid ascent
Seller Commission Fees	**Moderate** 2-2.12% base 4-6.36% Mall	**Strong** By category Includes shipping	**Moderate** 2.7-4.32% elec 8.1-14.58% Mall
Transaction/Platform Fees	**Moderate** 2.12% + RM0.50 Plus SST	**Strong** Unified structure Simplified fees	**Moderate** 3.78% + 8% SST Plus commission
Fulfillment Technology	**Strong** FBS mandatory Strict DTS rules	**Moderate** eLogistics AI-driven system	**Moderate** FBT in beta Multi-channel sync
Logistics Infrastructure	**Strong** Same-day urban Extensive network	**Moderate** AI-routed fleets Reliable delivery	**Weak** Tokopedia intgrd Developing network
Seller Support & Tools	**Strong** AI personalization Live streaming	**Moderate** Premium programs Quality focus	**Very Strong** Creator studios Social commerce
Dropship Integration	**Weak** Manual process 3rd party tools	**Weak** Manual coord CBS support only	**Moderate** Native Tokopedia Potential streamlined
Target Seller Type	**Moderate** SME & C2C	**Moderate** Premium brands	**Strong** Content creators

Source: INDG, CJDropshipping, Margin Business

Shipping Between East and West

There are many ways to transport goods in Malaysia. For instance, there's air freight, sea freight and land freight. When it comes to shipping to Sabah and Sarawak from West Malaysia, sea shipping is actually the most common method, especially for a large number of goods.

If you're looking for container shipping services to East Malaysia (Sabah and Sarawak), sea shipping is also one of the reliable methods of transportation. Let's explore more about sea shipping from West Malaysia to East Malaysia below:

Overview of Sea Shipping from West Malaysia to East Malaysia

Due to the geographic location of Sabah and Sarawak, sea shipping is actually one of the main modes of transportation for shipping to Sabah. Sea shipping from West Malaysia to East Malaysia is known to be affordable and has the capacity to handle large types of shipping containers and goods compared to air freight.

East Malaysia depends on sea shipping as it can handle a wide variety of items such as consumer goods, agricultural, industrial materials, and vehicles. Using sea freight to Sabah and Sarawak is also generally environmentally friendly as it has a lower carbon footprint.

How long is Sea Shipping from West Malaysia and East Malaysia?

You might also be curious about how long sea shipping is from West Malaysia, Semenanjung to East Malaysia.

On average, here are the estimated transit periods from KL to Sabah and Sarawak:

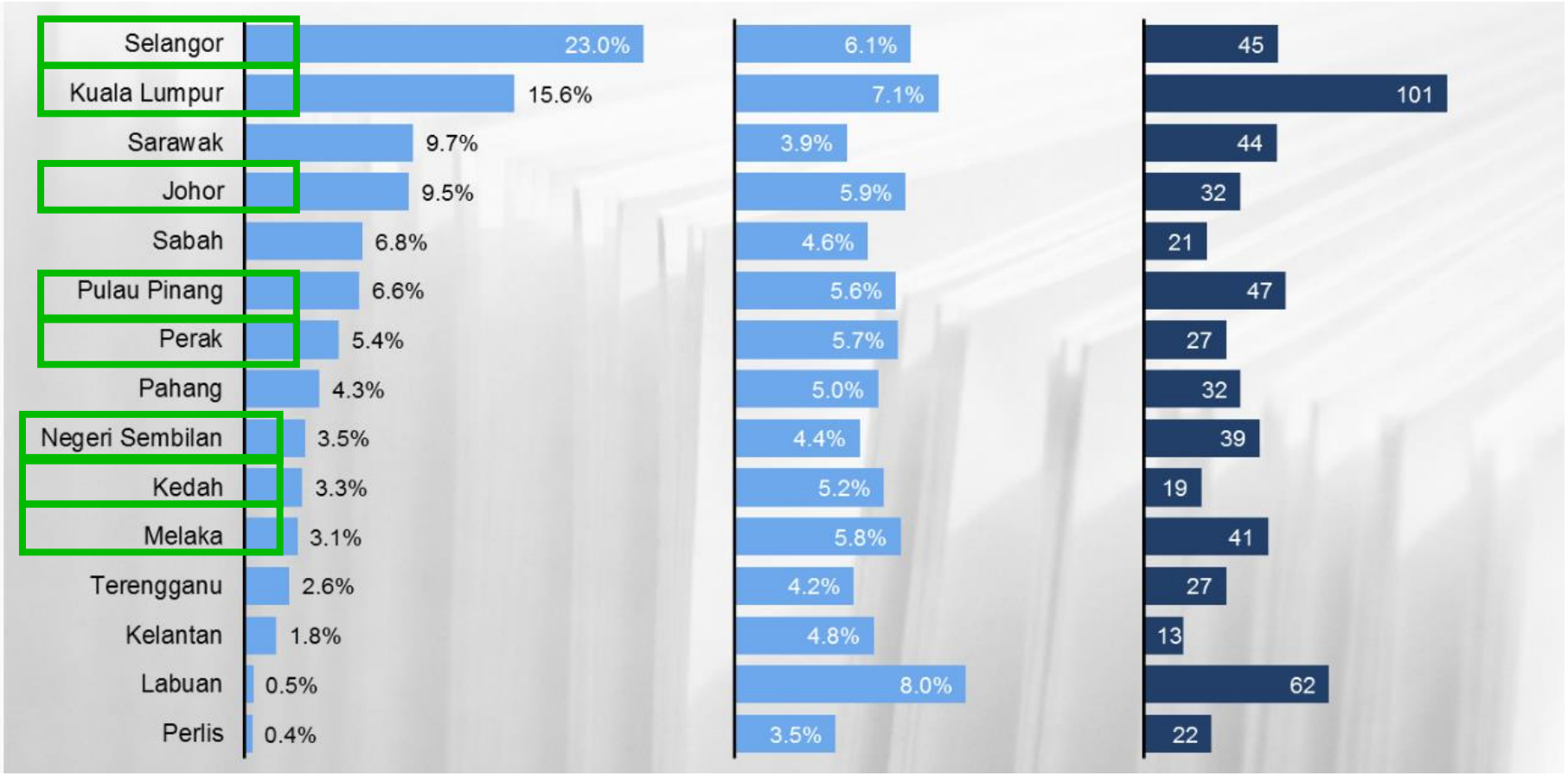
- **KL to Sabah:** between a range of 5 to 7 days
- **KL to Sarawak:** between a range of 4 to 6 days

Here is the estimated sea shipping from Port Klang to Sabah and Sarawak:

- **Port Klang to Kota Kinabalu Port:** Shipping from Port Klang to Kota Kinabalu will take between 3-4 days to the destination port.
- **Port Klang to Kuching Port:** Shipping from Port Klang to Kuching will take between 3-4 days to arrive at the destination port.

The periods of sea shipping to Sabah and Sarawak from West Malaysia also depend on peak periods. Usually, there's no transit for domestic sea shipping in Malaysia.

GDP in East and West Malaysia



Total: 70% on West Side

Source: https://chartingeconomy.com/what-are-the-key-economic-regions-in-malaysia